19 be brought under control, when will a treatment become available, when will a vaccine be ready and, most critically, when can the economy open up for business again?—it's no surprise so many were panicky. But demand related to people working from home drove technology spending; and pent-up demand for entertainment and home modifications was another source of consumer spending. It just was not obvious from driving around your neighborhood.

A market externality such as a pandemic isn't the same as a recession driven by falling consumer spending, rising unemployment, or tighter monetary policy. Nor is it anything like a financial crisis caused by a loss of confidence in bank-asset quality. Instead, it was an exogenous shock that *spilled over* into the broader economy and equity markets. The Japanese attack on Pearl Harbor or the September 11 terror attacks were the better comparison than the GFC.

All of this underscores the need to keep the following in mind: Regular sell-offs in the midst of long-term bull markets, sometimes of a shocking magnitude, are more common than believed. The same can be said about vicious rallies in longer bear markets.

Just consider each of the past three secular markets: 1966–1982 (bear), 1982–2000 (bull), and 2000–2013 (bear) in terms of the above.

A 20-year post-World War II market rally eventually hit a wall in 1966, with the Dow approaching what seemed like an astronomical 1,000 early in that year. It didn't last, and the deficit spending to fund the Vietnam War followed by the Arab oil embargo and the Watergate scandal dragged down the economy and the market. It took the Dow 16 years to finally clear 1,000; in the meantime, it had several brief rallies of about 27%, 19%, 67%, 75%, and 38%. None of these heralded the end of the bear market or the start of a new bull market.[205]

The inverse occurred during past bull markets: The 1982–2000 bull market saw declines in the S&P 500 of about 33% during 1987, including a one-